GOVERNMENT DEVELOPMENT POLICIES, DEVELOPMENT PLANS & STRATEGIES

Definitions

Development Policy

❑ **Political, Economic and Social measures** (interventions) formulated by a government to guide the improvement of living conditions of the people in a sustainable way.

❑ **Statements of Intent** of what a government plans to do to achieve certain developmental objectives.

Economic Policies

- Policies designed to improve the economic well-being of a country
  - **Sustained growth**
  - **Reduced poverty**
  - **Improved living standards**

Types of Economic Development Policies

a) Fiscal Policy

- Use of government spending and tax policies to influence economic conditions (usu macroeconomic) e.g. demand for goods and services, employment, inflation, economic growth etc.
- Involves government spending and taxation to influence economic activity
- **Expansionary Fiscal Policy**
  - Aims at expanding/increasing economic activities and therefore economic growth.
  - Applied when an economy is in recession/decline or stagnant
  - Meant to spur economic activity (increased production and consumption)

e.g.

- Increased government spending - Increased demand for goods and services – more production, more employment, more incomes, higher demand, more production
- Lowering of taxes - more money to spend, save and investment, more production

- **Contractionary (Tight) Fiscal Policy**
  - Aims at cooling down an economy by reigning on inflationary pressures
  - Meant to reduce the money in circulation
    - Raising taxes
    - Cutting government spendinge tax or cut government spending, cutting public sector pay or jobs

♦ **Contractionary fiscal policy is politically unpopular and therefore rarely used!**

b) Monetary Policy

❑ A policy tool used by central banks to change money supply in an economy to accomplish certain economic objectives.

❑Expansionary Monetary Policy

- **Aimed at reducing recession and spur economic activity (production & consumption)**
- Lowering interest rates
  - Makes borrowing cheaper
  - Encourages borrowing for consumption and investment
- Increasing money supply to stimulate economic growth.

❑Contractionary (tight) Monetary Policy

- Aims to control inflation, manage currency stability, and influence investment
- **Pulls money out of an economy to reduce inflation**
  - Raising interest rates - makes borrowing expensive – reduces economic activity (production & consumption)

b) Monetary Policy

- **Open market operations**
  - **By** Central Bank to influence money supply in the economy
  - Selling of government securities (bonds)
  - Raises money and therefore increase money available for government expenditure
- **Quantitative Easing (QE)**
  - Central bank purchases securities from the open market
  - Reduces interest rates and increase the money supply
  - **Creates new bank reserves, providing banks with more liquidity and encouraging lending and investment**.
- **Helicopter Drop (Helicopter Money)**
  - **Monetary stimulus strategy to increase money supply in an economy**
  - **Printing of currency and directly distributing cash to the public**
  - **Meant to spur inflation (or rising prices) and therefore economic growth.**

c) Trade Policies (refer to economic integration topic)

- Aims to enhance domestic industries, reduce trade imbalances, and foster economic integration with global markets.
  - Protectionist (restricting imports)
  - Liberal (encouraging free trade).
- Includes tariffs, quotas, subsidies, and trade agreements to regulate international trade.

d) Interventionist supply-side policies

- Deliberate intervention in the market by government to overcome to overcome market failure i.e. inefficient markets.

Examples:

- **GOK Fertilizer Subsidy Programme** - affordable – increased agricultural production – increased food availability - food security
- **Government fuel subsidy** – reduced cost of fuel/energy – increased economic activity
- **Taxation of polluters** – lowered waste emissions – healthy environment – healthy population
- **Reduced taxes on solar energy equipment** - Increased solar uptake – reduced dependency on fossil fuels – reduced GHGs – reduced global warming & climate change

e) Labour Policies

- Focuses on labour markets, wages, working conditions, and employment policies.
- Aims to improve employment levels, decent working conditions, and promote skills development.
- Includes:
  - Minimum wage laws
  - Vocational training programs
  - Labour rights protection.
  - **Maximum working hours per day &** days per week – extra work payable over-time
  - Annual leave
  - Legislation to prevent zero-hour contracts
  - Free child care support
  - Progressive tax and benefit system to reduce poverty i.e. fair share of taxes

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f) Industrial Policies

- Target specific sectors (e.g., manufacturing, agriculture) to promote industrial growth and diversification.
- Can include subsidies, tax incentives, and investment in infrastructure.

g) Social Policies

- Related to education, healthcare, housing, and poverty alleviation.
- Aims to reduce poverty and inequality, improve quality of life, and ensure equal access to services.

h) Policies for developing economies

- Structural Adjustment Programmes
  - Prescribed by international financial institutions (IMF, WB etc.)
    - Privatization
    - Expanding tax bracket
    - Reduction of public wage bill
- Economic Diversification
  - Reducing reliance on the primary sectors like agriculture
  - Increasing industrialization (modernization) e.g. agro-processing
- Foreign Direct Investment - Conducive investment environment e.g. through lower energy costs, political stability, rule of law etc.
- Foreign Development Aid
- Investment in public services e.g. education, health etc.

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Kenya Vision 2030

- Long-term development blueprint (2008 – 2030)
- **Transform Kenya into a newly industrializing, middle-income country, offering high quality of life to all its citizens by 2030**
- **5 years to go – to what extent has the vision been realised**

Pillars of Vision 2030

- **The Economic Pillar**
  - Improvement of prosperity through a comprehensive economic development program across all regions
  - GDP growth rate of 10% per annum from 2012 onwards.

Kenya Vision 2030

❑Social Pillar

- ❑Building a just and cohesive society
  - ❑ with social equity
  - ❑Clean and secure environment.

❑Political Pillar

- ❑ Establishment of a democratic political system
  - ❑Issue-based politics
  - ❑Rule of law
  - ❑Individual rights and freedoms.

Objectives of Vision 2030

- Transform Kenya into a newly industrializing, middle-income country by 2030.
- Improve the prosperity of all Kenyans.
- Build a just and cohesive society with social equity.
- Realize a democratic political system founded on issue-based politics.
- Achieve an average GDP growth rate of 10% per annum beginning in 2012.

Key Issues of Vision 2030

- Sustaining economic growth and ensuring its benefits are widely distributed.
- Addressing poverty and inequality.
- Improving infrastructure (roads, railways, ports, etc.).
- Address high energy costs and the need for increased and efficient energy generation.
- Land reform and efficient land use.
- Improving productivity and efficiency across sectors.
- Governance issues and corruption.

Key Strategies for realization of Vison 2030

- Implement the three pillars (Economic, Social, and Political
- Maintain macroeconomic stability

  Low inflation

  Managing public sector deficits (debt)

  Stable exchange rate (monetary policy)

  Low interest rates (Monetary policy)

Boost investor confidence

Protect the poor.

Key Strategies for realization of Vison 2030

- Continue governance reforms and fight corruption
- Invest in infrastructure and energy
- Apply science, technology, and innovation (STI)

❑Increased use of STI to improve productivity and efficiency

- ❑Supportive policy framework
- ❑Increased investment in research & Development
- ❑STEM education.

- Implement land reform

Key Strategies for realization of Vison 2030

- Develop human resources
- Improve security
- Reform the public sector
- Focus on key sectors to drive economic growth

❑ Tourism

❑ Agriculture

❑ Manufacturing

❑ Wholesale and retail trade

❑ Financial services etc

FOREIGN DEVELOPMENT AID

Meaning

- Financial assistance, resources, or expertise to support the economic, social, and political development of developing nations

Alternative Names

- Development aid
- Overseas aid
- Official development assistance (ODA)

Primary Goal

- Alleviate poverty
- Promote sustainable growth
- Improve quality of life in recipient countries
- Strengthening healthcare and education systems.
- Poverty reduction
- Humanitarian assistance
- Disaster relief

Economic growth.
Promotion of good governance.
Political and strategic alliances

FOREIGN DEVELOPMENT AID

Forms of Foreign Development Aid

- ❑Money
- ❑Goods
- ❑Technical expertise
- ❑Services (healthcare, education, governance)

FOREIGN DEVELOPMENT AID

Types and Sources of Foreign Development Aid

- Financial grants for infrastructure projects.
- Provision of food and medical supplies during humanitarian crises.
- Technical assistance for agricultural development.
- Debt relief.
- Military aid.

Challenges

- Corruption: Misuse of funds by recipient governments.
- Dependency: Creating reliance on aid rather than fostering self-sufficiency.
- Lack of accountability: Difficulty in tracking and evaluating aid effectiveness.
- Political conditionality: Aid tied to specific political or economic reforms.
- Inefficient distribution: Aid not reaching those who need it most.
- Lack of coordination between donors.

FOREIGN DEVELOPMENT AID

Importance/Advantages

- Provides essential resources for development.
- Supports humanitarian relief efforts.
- Can stimulate economic growth in recipient countries.
- Helps improve healthcare and education.
- Can help to build infrastructure.

Disadvantages

- Can create dependency.
- May be misused due to corruption.
- Can be tied to political agendas.
- May distort local markets.
- Can undermine local governance.